

Annexure-IX of Board's Report

BUSINESS RESPONSIBILITY REPORT

Pursuant to the provision of Regulation 34(2)(f) of SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY:

S. No.	General information about the company	Details
1.	Corporate Identity Number (CIN) of the Company.	L74899HR1995PLC053860
2.	Name of the Company.	Action Construction Equipment Limited (ACE)
3.	Registered address.	Dudhola Link Road, Dudhola, Palwal, Haryana – 121102.
4.	Website.	www.ace-cranes.com
5.	E-mail id.	cs@ace-cranes.com
6.	Financial Year reported.	2021-22
7.	Sector(s) that the Company is engaged in.	Manufacturing of Construction Equipment
8.	List three key products/services that the Company manufactures/provides (as in balance sheet).	The Company's core business(es) includes manufacturing of four types of heavy equipment – (i) mobile cranes / tower cranes (ii) material handling (iii) construction equipment and (iv) agri equipment etc.
9.	Total number of locations where business activity is undertaken by the Company.	3
9(a)	Number of International Locations (Provide details of major 5).	NIL
9(b)	Number of National Locations.	ACE conducts its operations through a network of area offices located all over the India.
10.	Markets served by the Company – Local/State/National/International.	National: Across India International: Tanzania, Nigeria, Myanmar, Yaman, Afghanistan, Uganda, South Africa, Nepal, Bangladesh etc.

SECTION B: FINANCIAL DETAILS OF THE COMPANY:

S. No.	Financial details of the company	Details
1.	Paid up Capital (₹)	2381.66 Lakhs
2.	Total Turnover (₹)	163034.37 Lakhs
3.	Total profit after taxes (₹)	10591.36 Lakhs
4.	Total CSR spent (₹)	186.59 Lakhs
5.	Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	1.76%
6.	List of activities in which expenditure in 4 above has been incurred:-	Detailed list of CSR activities is mentioned in Annexure –IV of Director' Report of the Company.

SECTION C: OTHER DETAILS:

S. No.	Other details	Details
1.	Does the Company have any Subsidiary Company/ Companies?	Yes
2.	Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent Company? If yes, then indicate the number of such subsidiary Company(s)	The Company has only 2 subsidiaries as on March 31, 2022. Subsidiaries company are not engaged in BR initiatives process of the Company.
3.	Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with; participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]	The other entities with whom the Company does business with viz. suppliers, distributors, etc. are not directly included in the BR initiatives of the Company.

SECTION D: BR INFORMATION:

1. Details of Director/Directors responsible for BR.

(a) Details of the Director/Director responsible for implementation of the BR policy/policies:

DIN	Name	Designation
00057634	Mr. Vijay Agarwal	Chairman & Managing Director

(b) Details of the BR head:

S. No.	Particulars	Details
1.	DIN Number (if applicable)	00057666
2.	Name	Mr. Sorab Agarwal
3.	Designation	Whole Time Director
4.	Telephone number	0129-4550114
5.	e-mail id	edoffice@ace-cranes.com

2. Principle-wise (as per NVGs) BR Policy/policies.

P1	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
P2	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
P3	Businesses should promote the wellbeing of all employees.
P4	Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
P5	Businesses should respect and promote human rights.
P6	Business should respect, protect, and make efforts to restore the environment.
P7	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.
P8	Businesses should support inclusive growth and equitable development.
P9	Businesses should engage with and provide value to their customers and consumers in a responsible manner.

(a) Details of compliance (Reply in Y/N)

S. No.	Question	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have a policy/ policies for....	Y	Y	Y	Y	Y	Y	Y	Y	Y
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3.	Does the policy conform to any national / international standards? If yes, specify? (50 words)	The policies are in conformance to the spirit of international standards like ISO 14001, ISO 45001 and meets the national regulatory requirements such as the Companies Act, 2013 and SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. Also, guidelines as per NVG on social, environment and economic responsibility of business have been considered for formulation of some policies.								
4.	Has the policy being approved by the Board? Is yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5.	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	These policies are administered and supervised by the management of the Company through internal governance structure.								
6.	Indicate the link for the policy to be viewed online?	Code of Business Conduct is available on our website: www.ace-cranes.com and other policies related to the employees are accessible to all employees.								
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8.	Does the company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/ policies to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10.	Has the company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	Yes, the Internal Auditor of the Company periodically reviews/ evaluates the working of the policies of the Company.								

(b) If answer to the question at serial number 1 against any principle, is 'No', please explain why: (Tick up to 2 options).

S. No.	Question	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	The company has not understood the Principles.	—	—	—	—	—	—	—	—	—
2.	The company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles.	—	—	—	—	—	—	—	—	—
3.	The company does not have financial or manpower resources available for the task.	—	—	—	—	—	—	—	—	—
4.	It is planned to be done within next 6 months.	—	—	—	—	—	—	—	—	—
5.	It is planned to be done within the next 1 year.	—	—	—	—	—	—	—	—	—
6.	Any other reason (please specify).	—	—	—	—	—	—	—	—	—

3. Governance related to BR.

- (a) **Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year.**

The Board of Directors and CSR Committee of the Board shall annually review the BR performance of the Company.

- (b) **Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?**

The applicability of BS Report is mandatory for the Company from the FY 2019-20, the Company has decided to make Business Responsibility Report an integral part of the Annual Report being part of Board's Report. The report will be published on an annual basis. Such report can be viewed at www.ace-cranes.com.

SECTION E: PRINCIPLE-WISE PERFORMANCE:

Principle1 : Businesses should conduct and govern themselves with Ethics, Transparency and Accountability:

1. **Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/ No. Does it extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs /Others?**

The Company considers Corporate Governance as an integral part of good management. The Company's policy relating to ethics, bribery and corruption is covered under ACE Code of Business Ethics and Business Policies, which are applicable to all personnel of the Company.

All employees sign a code of conduct at the time of joining the Company. The Company also has in place a Whistle Blower Policy.

All suppliers and contractors of the Company are Independent entities. Therefore, the Company's codes of business conduct do not apply to them and Whistle Blower Policy is applicable to all stakeholders of the Company.

2. **How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.**

During the year under review, the Company has not received any complaint in connection with sexual harassment. Further, the Company has not received any complaint w.r.t Ethics, bribery or corruption.

The details of the investor's complaints are provided in the in the Corporate Governance Report.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle:

1. **List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.**

(a) **Product :**

- (i) Development of tractors with BS-IV engines.
- (ii) Development of cranes and constructions equipments with BS-IV engines.

(b) **Energy Saving :**

The Company has taken lot of initiatives for reduction in power cost by improving the production processes. Production process of the Company does not require much power.

There is an optimum ratio of glass windows to utilize natural light and proper insulation/ventilation to balance temperature and reduce heat.

Replacement of all lights with LED across all plants and office area to save energy.

Paint shop oven of the Company running through diesel has been replaced by PNG connections.

The Company has installed and commissioned PV Solar Power plant of 1795.9 KWP capacities across various roofs and parking space.

Main focus on conservation efficient use is always on low cost automation and technology improvement and existing setup.

(c) **Underground Water Saving:** Installation of rain water harvesting system in the Plant areas to increase in underground water level, Water reused for Gardening.

(d) **Environmental Improvement:** Green Area has been developed inside the Company.

2. **For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product(optional):**

(a) **Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain?**

As production lines at the Company are flexible and produce multiple models, there is practical difficulty in isolating model-wise resource utilization data.

(b) **Reduction during usage by consumers (energy, water) has been achieved since the previous year?**

The end users of the equipments produced by the Company are Individual customers. Therefore, it is difficult for the Company to determine the reduction in energy and water during usage of equipments.

3. **Does the Company have procedures in place for sustainable sourcing (including transportation)?**

(a) **If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.**

Company encourages our supplier to send their vehicle systematically. It helps to fix time for every inbound vehicle & helps us in saving time & overall reducing logistics cost & improving efficiency.

The Company strives to procure components without compromising on Quality.

The Company has been encouraging and supporting its suppliers towards Green Supply Chain & We direct suppliers to use of banned substances as per law in component manufacturing.

4. **Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work ?**

(a) **If yes, what steps have been taken to improve their capacity and capability of local and small vendors?**

Majority of small parts which are used in manufacturing process are coming from local producers only. Services, whether related to Plant maintenance or giving contracts related to cleaning/ maintaining are preferred to be taken from local suppliers only. The Company undertakes initiatives to build capabilities of the suppliers & runs many such programmes for knowledge sharing & continual improvement.

The Company supports supplier in building Capacity and Capability through regular assessment and guiding the improvement areas in the field of machine requirements, infrastructure, quality system, process improvement, transportation and packaging. The Company give's periodically recognition to best supplier in terms of cost, quality and delivery.

5. **Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.**

As part of its endeavor of contributing towards reducing carbon footprint and ensuring sustainability across all operations, the Company focuses on various initiatives like:

- i. Usage of sewage treatment plant output water for maintenance of greenery in the Plant & washing facilities;
- ii. Installation of monitoring system for ETP discharge;
- iii. Implementation of rain water harvesting;
- iv. 100% of hazardous waste sent to authorised party;

Principle 3 : Businesses should promote the wellbeing of all employees

1. **Please indicate the Total number of parmanent employees:** 1184

2. **Please indicate the Total number of employees hired on temporary/contractual/casual basis:** 2325

3. **Please indicate the Number of permanent women employees:** 13

4. Please indicate the Number of permanent employees with disabilities: 1
5. Do you have an employee association that is recognized by management?: No
6. What percentage of your permanent employees is members of this recognized employee association?: NA
7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

S. No.	Category	No of complaints Filed during the Financial year	No of complaints Pending as on end of The financial year
1.	Child labour/forced labour/involuntary labour	Nil	Nil
2.	Sexual harassment	Nil	Nil
3.	Discriminatory employment	Nil	Nil

8. What percentage of your under mentioned employees were given safety & skill up gradation training in the last year?
 - (a) Permanent Employees: 16.80%
 - (b) Permanent Women Employees: 0%
 - (c) Casual/Temporary/Contractual Employees: 11.20%
 - (d) Employees with Disabilities: 0%

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

The Company follows very high standard of Corporate Governance which covers all stakeholders. The Company is especially sensitive to needs of the underprivileged segment of the community around us and is working in improving their lifestyle.

1. Has the Company mapped its internal and external stakeholders? Yes/No.

Yes, the principal stakeholders of the Company are its employees, shareholders, suppliers, customers, vendors, partners, government and regulatory authorities, etc. These stakeholders are mapped in a structured manner through systematic communication platforms which helps us to understand the customer needs and the improvement opportunities for the Company in all prospects.

2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders.

The Company has identified following two vulnerable sections:

1. Local community.
2. Socio-economically disadvantaged sections of the society.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

The Company covers a wide range of social issues both at local as well as national level. The main CSR areas is : Health & Wellness

Yes, programs have been conducted under the CSR and environment protection initiatives, so as to have positive social impact on the disadvantaged, vulnerable and marginalized stakeholders.

Principle 5: Businesses should respect and promote human rights:

The Company fosters a culture of working with respect and dignity for its employees and all the stakeholders. We are committed to respect the dignity of every person associated with us and take every possible effort to promote this philosophy. The Company strictly prohibits any harassment (mental or physical) or discrimination on race, color, sex, language, religion, etc. and strives to render a fair treatment and equal opportunity to everyone. We strongly support the ideology of human rights and comply with applicable laws related to the employees and associates.

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Ventures/Suppliers/

Contractors/NGOs/Others?

The Company does not have a standalone policy for human rights, however, the Company's internal policies on Code of Conduct, Ethics and CSR recognises all the key aspects of human rights and we provide equal opportunity to all the sections of the society without any discrimination. These policies covers all the employees of the Company.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

The Company did not receive any stakeholder complaint during the past financial year regarding human rights.

Principle 6: Business should respect, protect, and make efforts to restore the environment:

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others.

Our Company is committed to achieve the global standards of health, safety and environment. We believe in sharing process and product innovations within the Company and extending its benefits to the Industry. We believe in safeguarding environment for long term.

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc? Y/N. If yes, please give hyperlink for webpage etc.

Yes. The Company has taken following initiatives to address global environmental issues:

1. The Company has in place system for rainwater harvesting. Further, the Company is also planning to increase such systems.
2. The Company has installed and commissioned PV Solar Power plant of 1795.9 KWP capacity across various roofs and parking space.
3. Recently the Company has issued additional order for installation of PV Solar Power Plant of 1000 KWP which will be completed by December 2022.
4. No industrial solid waste is allowed to go out of plant(s) without proper identification in storage & recycle to authorised vendors.
5. Green Area has been developed inside the Company.

3. Does the Company identify and assess potential environmental risks? Y/N.

The Company is taking care of all statutory potential risks. The study is reviewed every year or when it is required & suitable controls are taken. All processes and operations are studied for its aspect and impact on environment and for significant aspects periodical objective and targets are set, operate and monitored.

For example:

1. Waste oils or used oils are collected, stored, recycle reused and ultimate waste oils are disposed to Pollution Control Board (PCB) authorised vendors.
2. Paint sludge are collected, stored and disposed to PCB authorised Vendors.
3. All stacks are monitored for their emissions for defined parameters set by PCB & HSPCB.
4. Company has Sewage Treatment Plant (STP) for sewage treatment at all locations to treat it's all sewage generated.
5. Installation of fire hydrants.
6. Precautions while handling Hazardous Waste.
7. Access warning on fragile roof.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

The Company continues to work towards development and implementation of climate change mitigation project mainly through energy saving projects.

5. Has the Company undertaken any other initiatives on-clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.

Yes, the Company has taken the following initiatives on clean technology, energy efficiency, renewable energy, etc.

The Company has always been conscious of the need for the conservation of energy and optimum utilization of available resources and has been steadily making progress towards this end.

The Company has taken lot of initiatives for reduction in power cost by improving the production processes. Production process of the Company does not require much power.

There is an optimum ratio of glass windows to utilize natural light and proper insulation/ventilation to balance temperature and reduce heat.

The Company has installed and commissioned PV Solar Power plant of 1795.9 KWP capacity across various roofs and parking space.

The above measures will results in efficient use of natural resources, lower energy consumption, significant reduction in Carbon emissions and hedge against continuous energy rate increase.

6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

All emissions and waste generated by the Company are within the limits defined by CPCB/SPCB in 2021-22.

7. Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year: NIL

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner:

1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

Following is the list of major industry bodies and expert agencies with whom ACE engages/involved for various activities. This list is indicative:

- (a) Confederation of Indian Industry (CII);
- (b) Federation of Indian Chambers of Commerce & Industry (FICCI);
- (c) The Associated Chambers of Commerce and Industry of India (ASSOCHAM);
- (d) Tractors and Mechanization Association;
- (e) Faridabad Industries Association;
- (f) Indian Construction Equipment Manufacturers Association (ICEMA);
- (g) PHD Chamber of Commerce and Industry etc.

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others).

ACE is an active participant in committees/programs set up by the CII, FICCI, IACC, Tractor and Mechanization Association, Faridabad Industries Association, Indian Construction Equipment Manufacturers Association (ICEMA) and the Government on various subjects pertaining to policy and regulation with various policy makers for framing new regulations and policies. The Company's engagements include areas such as agriculture, R&D, technology, international collaborations and more.

Principle 8: Businesses should support inclusive growth and equitable development

1. Does the Company have specified programmes/initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.

Yes, the Company supports inclusive growth and equitable development through various training and development programmes for its employees as well as its key stakeholders.

1. The Company's approach and projects are given in the CSR Policy.
2. Organized various medical check-up camps.
3. Contributed for the COVID-19 affected people.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?

The Company has initiated various programmes which mainly focus on healthcare through ACE Emergency Response Services Trust, Education & Skill Development and the same have also implemented to the large extent.

3. Have you done any impact assessment of your initiative?

On a periodic basis, we measure the direction of our initiatives and their impact. The assessment helps in focusing our efforts and achieving better results.

4. What is your Company's direct contribution to community development projects- Amount in INR and the details of the projects undertaken.

During the year under review, the Company has spent ₹ 186.59 lakhs towards various CSR activities. Details are provided in **Annexure-IV** of Director's Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

The Company is striving for a favorable behavioral change among communities towards the facilities developed. To bring about the change in behavior and build capabilities of the Community, the Company has ACE Emergencies Response Service trust for educating them on adopting and maintaining the common community assets constructed by the Company.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner.

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year.

In 2021-22, the Company has sold 11,364 total no. of vehicles and during the year (2021-22), total customer cases registered were four (4). Total customer cases pending as on March 31, 2022 are 45. These cases are under process of resolution and the same are not significant in comparison to total revenues of the Company.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/ No/N.A. /Remarks(additional information)

Yes. The Company complies with disclosure requirements relating to its products and services. Further, the Company also displays Customer Code & Delivery No., the child part details and scheme details, if any.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/ or anti-competitive behaviour during the last five years and pending as on end of financial year. If so, provide details thereof, in about 50 words or so.

No court case is pending against the Company regarding unfair trade practices, irresponsible advertising and/ or anti-competitive behavior as on the end of Financial year 2021-22.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

In the current financial year 2021-22, the Company has not carried out any consumer survey.